

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 26-07

DOWN QUARK SYSTEMS LLC; SUNNYSIDE DIGITAL INC.,

COMPLAINANTS

v.

ZIM AMERICAN INTEGRATED SHIPPING SERVICES CO., LLC;
ZIM INTEGRATED SHIPPING SERVICES LTD.;
PORT OF HOUSTON AUTHORITY OF HARRIS COUNTY, TEXAS, (*OWNER AND
OPERATOR OF THE BAYPORT CONTAINER TERMINAL*),

RESPONDENTS.

COMPLAINANTS' RESPONSE TO ZIM RESPONDENTS' MOTION TO DISMISS

I. Zim Seeks to Avoid the FMC's Exclusive Jurisdiction with its Disingenuous Motion

Zim is once again attempting to avoid the FMC's exclusive, Shipping Act review of its unreasonable demurrage charges, through a web of baseless (and retaliatory) legal actions. Zim has filed three complaints in two federal courts (the Southern District of New York (SDNY) and the Southern District of Texas (SD Tex)). It chose to *voluntarily dismiss* the SD Tex proceeding instead of responding to Complainants' motion to dismiss the action on primary jurisdiction grounds and has requested serial extensions in various fora, all to keep a dispute over demurrage, an area squarely within the FMC's primary and exclusive Shipping Act jurisdiction, away from the FMC. Zim attempts to argue that its claims for over \$7 million in demurrage charges on shipper-owned, non-cargo-carrying containers somehow boil down to a mere breach of contract

that does not involve the Shipping Act or OSRA 22 requirements or FMC regulations in any way. This is facially implausible.¹

In addition to the foundational statutory and regulatory scheme, recent actions have underscored the FMC's exclusive role in demurrage and detention (D&D) disputes. In the last six years, the FMC has issued a rulemaking on the Incentive Principle (46 C.F.R. § 545.5); Congress has amended the Shipping Act in the Ocean Shipping Reform Act of 2022 ("OSRA 22") (enacted as Public Law 117-146 on June 16, 2022) to expressly address D&D invoicing; the FMC has promulgated implementing regulations under OSRA 22; and the FMC has decided a steady line of D&D cases, imposing historic penalties. Each development confirms the FMC's primary and exclusive role in regulating demurrage disputes under the Shipping Act/OSRA 22. In fact, Zim has faced proceedings on these grounds in cases brought by International Express Trucking, Inc. (Dkt. No. 22-13); Samsung Electronics America, Inc. (Dkt. No. 22-30); International Lumber Imports, Inc. (Dkt. No. 24-27); and Baylink Shipping Inc. (Dkt. No. 24-28).

And yet, in this case Zim has repeatedly ignored this framework and sought to evade the FMC's review of its charges at issue. On October 29, 2025, Zim received (via its designated online portal) a D&D dispute regarding the same charges at issue in this FMC proceeding (and in the SDNY and SD Tex suits) threatening that an FMC Complaint would follow if the matter was not resolved within the thirty-day regulatory period. Fifteen days into that period, Zim sued Complainants' destination agent, TD Logistics, in SDNY. This suit in response to the D&D dispute letter violated the requirement that "the billing party [Zim] ***must attempt to resolve the***

¹ *Jimex USA, Inc. v. Unitrans-Pra Co., Inc.*, Dkt. 2036(I) FMC Slip Op. at *23, 2026 FMC LEXIS 572, at *42 ("[FMC] has exclusive jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act.").

[mitigation, refund, or waiver] request within thirty (30) calendar days of receiving such a request.” 46 C.F.R. § 541.8(b). Suing the disputing party’s destination agent is not an attempt to resolve anything.

Zim did not stop there in its unflagging effort to avoid the FMC’s exclusive review. After TD Logistics filed a charge complaint with the FMC on April 14, 2026, as well as a motion (filed May 4, 2026) to stay the SDNY proceedings in favor of the FMC’s exclusive jurisdiction, Zim fought to keep the SDNY case alive while simultaneously suing Complainants’ related entity in the separate SD Tex proceeding. Faced with a May 19, 2026 motion to dismiss that SD Tex action under Rule 12(b)(6) and the FMC’s primary jurisdiction, Zim obtained an extension of its June 9, 2026 response deadline to June 30, 2026, but then ***voluntarily*** dismissed its own complaint on June 30, 2026 (marking its dismissal 63 days² after service). At that point, Zim returned to SDNY to file an amended complaint against Complainants—despite the pendency of TD Logistics’ motion to dismiss in favor of the FMC’s primary jurisdiction—in yet another effort to avoid the FMC’s review. While all this was happening, Zim also requested two extensions to respond to the Complaint in the instant proceeding, i.e., the very Complaint that Complainants stated they would file if the 46 C.F.R. § 541.8 dispute went unresolved. It is difficult to imagine what jurisdictions remain for Zim to file in, or how many more extensions it can request, while it continues to avoid FMC review of its invalid demurrage charges and practices. And to reiterate, Zim’s own multi-jurisdictional shell game belies its flimsy contention that this is “merely” a simple contract dispute.

² ZIM served the S.D. Tex. Complaint on April 28, 2026 and dismissed on June 30, 2026. *ZIM Integrated Shipping Services Ltd. v. Elektron Enterprises LLC*, 4:26-CV-02995 (S.D. Tex. 2026).

And now, on the first occasion Zim has been called to task before the FMC, after twice receiving extensions, Zim has once again sought to evade the FMC's oversight by filing a motion to dismiss that is legally baseless.

Zim's instant motion to dismiss is simply the latest step in its nearly ten-month pattern of avoidance, and perhaps the most egregious given the groundlessness of each of Zim's asserted bases for dismissal. It should be denied. Zim offers no argument sufficient to dismiss any of the parallel Shipping Act violations alleged, each of which is independently pled, with concrete factual and legal bases, and independently supports the related relief sought: waiver of \$7,050,260 and refund of \$5,880. (Complainants' separate claims regarding \$917,458.74 in port-assessed fees are not at issue in this motion; the Port of Houston answered months ago. As alleged, those amounts also reflect Shipping Act violations related to Zim's unlawful conduct.)

As detailed below, Zim's motion must be denied because (A) the direct purchaser rule ***does not even apply*** to the majority of the claims, and in any event does not bar this action, as shown in the pleadings and in Zim's complaints filed in federal court; (B) Complainants have properly alleged a "normal, customary, and continuous" "practice" under FMC authorities applying this element of a Section 41102(c) claim because the conduct was pursuant to Zim's rules tariff provisions; (C) Complainants have properly alleged "discriminatory" conduct by Zim under 46 U.S.C. § 41102(d) and properly alleged that Zim retaliated against them under 46 U.S.C. § 41104(a)(4), based on FMC guidance ***Zim itself cited*** and Complainants' threat to bring this dispute to the FMC, which Zim argued back in November 2025 it would win (though it now argues the dispute cannot lawfully be brought here), directly contradict the FMC's 2021 policy statement regarding retaliation; and (D) Complainants have sufficiently alleged each violation of the Part 541 invoicing requirements that Zim failed to include in the invoices.

II. The Legal Standard Requires Denial of Zim's Motion.

The parties agree that motions practice before the FMC is governed by 46 C.F.R. §§ 502.69, 502.70, and that when the FMC's Rules of Practice and Procedure (46 C.F.R. Part 502) are silent, the ALJ may look to the Federal Rules of Civil Procedure to the extent they are consistent with Rule 502 and sound administrative practice. 46 C.F.R. § 502.12; *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, 2 F.M.C.2d 198 (FMC 2020); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126 (FMC 2011).

A motion to dismiss tests the sufficiency of the pleadings. It is not a vehicle for resolving contested facts. In reviewing this motion to dismiss for failure to state a claim, “the Commission must accept as true all factual allegations and construe them in the light most favorable to the complainant[s].” *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Dkt. No. 12-02, 34 S.R.R. 35, 23 (FMC Dec. 18, 2015); *see also Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). Plausibility is not probability; the standard “simply calls for enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violations. *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 556 (2007). And where the well-pled allegations support competing inferences, the “choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d Cir. 2012).

Zim has failed to meet its burden of persuading the ALJ that dismissal is warranted now, on the pleadings alone. It cannot carry that burden because its motion rests on factual assertions that contradict the Complaint's express allegations and ***contradicts Zim's own allegations in its***

patchwork of federal actions, mischaracterizations of its own litigation conduct, in the SDNY and SD Tex actions, and faulty interpretations of the statutes, regulations, and case law.

Contested questions of payment, agency, and Zim’s own parallel filings are quintessentially matters for the record, not for resolution on a motion to dismiss. The Complaint’s parallel Shipping Act claims, each independently sufficient to support the waiver and refund relief sought, easily clear the plausibility threshold, and the motion should be denied. Indeed, a detailed analysis of Zim’s arguments in its Motion to Dismiss reveals that the motion is disingenuous, and is another indication of Zim’s concerted effort to unfairly and unreasonably evade and delay Complainants’ legitimate disputes over the D&D charges at issue.

A. The Direct Purchaser Rule Does Not Bar Complainants’ Claims—and Does Not Even Apply to the Largest Aspect of Complainants’ Claims

Zim’s direct purchaser argument (Motion, Section III.A) is, at best, a distraction, as it fails on four entirely independent and equally dispositive grounds.

First, the direct purchaser rule is a limitation on the recovery of ***reparations*** under 46 U.S.C. § 41305. “Under the direct purchaser rule, ‘parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser.’” *TCW, Inc., v. Evergreen Shipping Agency (Am.) Corp.*, 2022 FMC LEXIS 589, *16, 2022 WL 18068977 (FMC Dec. 29, 2022) (citing *Gov’t of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894, 902, 2002 FMC LEXIS 16, *4 (ALJ 2002), *admin. final*, 2002 FMC LEXIS 25 (FMC 2002)). “[T]he direct-purchaser doctrine does not foreclose equitable relief, nor does it apply when no purchaser could obtain damages, for then there is no risk of double recovery (and no need to calculate elasticities in order to apportion damages among multiple tiers).” *U.S. Gypsum Co. v. Indiana Gas Co.*, 350 F.3d 623, 627 (7th Cir. 2003) (addressing Supreme Court decisions from which direct purchaser doctrine derives). As such, the doctrine has no application

to Complainants’ request for a cease-and-desist order barring Zim’s continued pursuit of \$7,050,260 in billed but unpaid demurrage. Importantly, waiver of payment of over \$7 million in billed **but not paid** D&D charges—as opposed to refund—is the principal relief sought against Zim. This point bears particular emphasis: the direct purchaser rule, by definition, **cannot apply when the charges at issue have not been paid by anyone**, which is the case here, because the D&D charges are not valid. And Zim knows this full well, because its SDNY and SD Tex lawsuits are seeking payment **of those unpaid amounts**. On this basis, Zim’s direct purchaser arguments are baseless. Additionally, the purpose of the direct purchaser doctrine is “to prevent multiple judgments”—as confirmed by the very jurisprudence Zim cites (the VCS decision, *In re Vehicle Carrier Services*, 2019 WL 5558120). Yet it is Zim’s jurisdictional hopscotching that threatens **precisely this outcome** through potentially divergent and overlapping outcomes.

Second, Zim misstates the rule itself. The doctrine asks “What entity actually paid the specific charges sought as reparations?” and not, as Zim stated, who “purchased carrier services” in the abstract.

Third, Zim’s own allegations in its SDNY suit refute its direct purchaser argument. Specifically, Zim has alleged in the SDNY suit that Complainants “each qualify as ‘Merchants’ within the meaning of the governing Bills of Lading and are bound by their terms and conditions” (SDNY Complaint ¶ 37); and that they are “bound by the governing Bills of Lading and/or otherwise became liable for the obligations [i.e., the disputed D&D charges] arising thereunder as a consignee, Merchant, cargo interest, principal, contracting party, through agency, ratification, adoption, assumption, or otherwise” (*id.*, ¶ 41). Under recent FMC authorities, to the

extent Complainants may be bound as “Merchants”³ under relevant Zim bills of lading—***as Zim itself has alleged***—the direct purchaser doctrine does not apply. *See Ealytex Global Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt 26-08 at *4, 2026 FMC LEXIS 653, *5 (ALJ Aug. 6, 2026) (“[If] the bills of lading make Complainant responsible for fees, [direct purchaser doctrine] concerns would not apply”). Simply put, Zim is equitably estopped by its own allegations in its SDNY suit from pursuing any direct purchaser argument before the FMC.

Fourth, as to the only reparations claim asserted against Zim (the \$5,880 in CES Demurrage charges), the Complaint expressly pleads, and Exhibit 5 documents, that Complainants paid those charges with DQS funds. Those allegations must be accepted as true at this stage, and they are dispositive.

Very simply, Zim’s direct purchaser arguments are objectively baseless on multiple grounds.

1. Zim’s “Overlapping Cases” argument indicts Zim’s own conduct, not Complainants’.

Zim tries to cast its own “flood the zone” litigation strategy as Complainants’ doing. This “overlapping claims” argument (Zim MTD, at 8) inverts reality. To the extent any party has created a risk of inconsistent adjudications concerning these invoices, it is Zim, who filed collection actions (recast as breach of contract and other non-Shipping Act theories) in the SDNY and SD Tex, and later amended the SDNY action to add Complainants, all while on notice of an active demurrage dispute under the Shipping Act and 46 C.F.R. Part 541 and of Complainants’ stated intent to bring the matter before the FMC. Compl. ¶¶ 118-37.

³ To be clear, Complainants contend that even if they fall within the ZIM bill of lading “Merchant” definition, the disputed D&D charges are still invalid and not properly charged regardless. *See Verified Complaint*, ¶ 124, n.63.

Zim next argues that the harms the direct purchaser rule seeks to prevent “are borne out” in this case “by the ***overlapping proceedings and disputes pursued by different parties***, as alleged in the Complaint itself.” Again, the overlap was created by Zim. But this argument also ignores the governing standard. On a motion to dismiss, the Complaint’s allegations are accepted as true, and Complainants allege that DQS sent funds to SunnySide to pay Zim. Compl. ¶¶ 1, 3, 47 & Ex. 5. Zim may contest those facts later; it cannot do so now. Complainants have sufficiently alleged that they paid the CES Demurrage and would be liable for the remaining invoices if those invoices are found valid, which Complainants dispute.

Granting the motion would set a dangerous precedent: an ocean carrier could manufacture “overlapping claims” by suing different shipment parties in multiple federal courts, then invoke the direct purchaser rule to brand the resulting Shipping Act Complaint as duplicative and escape FMC review of its own unlawful conduct. That cannot be the law.

2. The Complaint properly pleads that Complainants directly paid the CES Demurrage Charges and would be liable for the remaining charges if found valid.

The Complaint alleges that SunnySide, acting as agent for DQS, paid the \$5,880 in CES Demurrage charges with funds provided by DQS, and Exhibit 5 identifies SunnySide as the payor. Compl. ¶¶ 1, 3, 47 & Ex. 5. DQS and SunnySide are Complainants in this action. There simply is no direct purchaser issue in this case, as plainly shown in the Complaint.

Under the very authority Zim cites, the direct purchaser rule does not apply where a party pays a carrier’s charges on behalf of the real party in interest. *Simple Forwarding Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F), 2025 WL 1723588 (ALJ Feb. 6, 2025) (*notice not to review* Mar. 11, 2025) (rule inapplicable where payor was “in essence . . . Claimant’s agent or courier”). Here the agency relationship is pleaded expressly: SunnySide was DQS’s agent, transacting

payments with DQS's funds. Compl. ¶ 3. And **both** entities are Complainants in the proceeding. The ALJ must accept these allegations as true, and, accepted as true, they defeat the motion. Zim knows these allegations are well founded: it relies on them in its own SDNY suit against DQS. (S.D.N.Y. Am. Compl. ¶¶ 22-23)(“22. Upon information and belief, DQS owned the subject Containers, managed their commercial use, and ***provided the funds used to pay charges associated with the shipments*** that are the subject of this action. ***DQS has admitted these facts in the FMC Proceeding.*** 23. Upon information and belief, DQS was one of the parties responsible for the subject shipments and any demurrage charges arising therefrom.”)(emphasis added). Zim's arguments that these allegations are insufficient are disingenuous at best. Zim admits in SDNY that DQS sufficiently pled these facts. How else could Zim have drafted paragraph 22?

Zim's next argument, that the invoices were addressed to TD Logistics and that TD Logistics was not Complainants' agent, is a non-sequitur. (As an aside, it also generally ignores the industry practice of pass-through invoices, Zim's own interpretation of its BL merchant clause, and the basis for receipt of most of Zim's demurrage charges, making it difficult to understand why Zim would posit such an argument.) Whether TD Logistics was anyone's agent is irrelevant because TD Logistics did not pay the CES Demurrage charges. Complainants did, with their own funds, as expressly pleaded (Compl. ¶ 47) and as shown on the face of Exhibit 5. Complainants do not need to step into TD Logistics' shoes; they stand in their own as the actual payors. The rule turns on payment, not on the addressee line of an invoice, and Zim cites no authority holding otherwise. To the extent Zim wishes to contest the factual allegation that Complainants paid these amounts, that is a factual dispute that cannot be resolved on a motion to dismiss, where the FMC accepts the Complaint's well-pleaded facts as true and draws reasonable

inferences in Complainants' favor. *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009); *Cornell v. Princess Cruise Lines, Ltd.*, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014).

3. Zim is estopped from denying Complainants' liability, having twice sued Complainants to establish it.

Zim cannot credibly argue that Complainants are not liable for these charges and hold no "assignment of rights" while suing Complainants in SDNY and a DQS parent entity in SD Tex on precisely the opposite premise. The Complaint's facts must be accepted as true on this motion. Moreover, Zim's own amended complaint in SDNY (Dkt. 49, 25-CV-09492-AT-HJR) confirms the key facts.

Zim's two federal court actions have alleged that Elektron owes Zim \$708,153 for port storage fees (presumably a portion of the \$7,050,260) and that DQS owes \$7,050,260 in demurrage fees (the exact amount at issue in Complainants' Complaint). Zim's SD Tex Complaint alleged that Elektron owed it \$708,153 for port storage fees under a series of dubious theories constructed to avoid the Shipping Act: maritime indemnity, unjust enrichment for port storage, and a previously unseen negligence claim built on a third party's customs filings.

In SDNY, Zim likewise alleged causes of action that form the basis for this proceeding and notably avoid the Shipping Act. There, Zim alleged that DQS is bound by the merchant clause in Zim's bill of lading (Dkt. 29, S.D.N.Y. Am. Compl. ¶¶ 13, 25, 37), that DQS and SunnySide incurred the demurrage by failing to retrieve the containers within free time (*id.* ¶¶ 14-15), and that Zim has demanded payment from both (*id.* ¶¶ 19, 20, 30-36). Zim cannot simultaneously allege in federal court that Complainants are contractually liable to pay these charges and argue to the FMC that Complainants are strangers to them with no cognizable interest.

Zim finds it convenient to tell two federal courts, neither with the FMC's demurrage expertise nor primary and exclusive jurisdiction over the Shipping Act, that Complainants are liable for \$7,050,260 in demurrage, while telling the FMC that Complainants have no interest in the same \$7,050,260, all through a contorted blend of direct purchaser and assignment-of-rights labels.

Zim should be equitably estopped from asserting the direct purchaser rule against the very parties from whom it demands payment. At minimum, Zim's federal pleadings confirm what the Complaint alleges: Accepting the truth of the well-pled allegations, Complainants are the real parties in interest with respect to every charge at issue.

4. The Direct Purchaser Rule limits reparations; it does not bar Shipping Act complaints or equitable relief, like a cease-and-desist.

Contrary to Zim's contention that the direct purchaser rule demands a dismissal here (Zim MTD, at 4-8), any person may file a complaint alleging a violation of the Shipping Act. 46 U.S.C. § 41301(a). The direct purchaser rule operates only as a limit on who may recover reparations **for amounts actually paid**: "parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser." *Gov't of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894, 902, 2002 WL 35693313 (ALJ 2002), *admin. final*, 2002 FMC LEXIS 25 (FMC 2002); *accord TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, 5 F.M.C.2d 203, 2022 FMC LEXIS 589, at *16 (FMC Dec. 29, 2022). Every authority Zim cites, including *In re Vehicle Carrier Services* itself, concerns standing to recover reparations for overcharges that were paid. *See* Zim MTD at 4-5.

Against Zim, however, Complainants seek reparations only as to the \$5,880 in CES Demurrage charges. Compl. ¶¶ 1, 158. The balance of the relief sought against Zim is equitable: an order directing Zim to cease and desist from pursuing the \$7,050,260 reflected in the Zim

Demurrage Invoices and the un-invoiced “terminal storage” amounts, none of which has ever been paid by anyone. Compl. ¶¶ 1, 159.

The direct purchaser rule has nothing to say about that claim because the charges have not been paid. Thus, the payor is not an issue. Here, Complainants seek waiver of the charges and a cease-and-desist order. The FMC has confirmed that “a showing of actual harm is not a prerequisite for a cease-and-desist order,” so arguments that a complainant failed to prove financial harm or actual loss are “legally immaterial.” *Intermodal Motor Carriers Conf., Am. Trucking Ass’n, Inc. v. OCEMA*, 2024 WL 641501, at *44 (FMC Feb. 13, 2024). Federal courts construing *Illinois Brick*, the antitrust decision from which the FMC’s rule derives, see *VCS*, 2019 WL 5558120, at *6, hold the same: “the direct-purchaser doctrine does not foreclose equitable relief, nor does it apply when no purchaser could obtain damages, for then there is no risk of double recovery.” *United States Gypsum Co. v. Indiana Gas Co.*, 350 F.3d 623, 627 (7th Cir. 2003).

That is precisely this case. The rule exists “to prevent multiple judgments (by various parties in the distribution chain) and to avoid the complex task of accurately and fairly apportioning damages among various parties along the distribution chain.” *VCS*, 2019 WL 5558120, at *6 (quoted in *Zim MTD*, at 5). Where the disputed charges remain entirely unpaid, there is no fund to apportion, no pass-through to trace, and no possibility of double recovery. Here, it would not serve any of its purposes and would insulate facially invalid charges from FMC review, a result the D&D invoicing rules and OSRA 22, which entitle billed parties to seek **waivers** as well as refunds, cannot tolerate.

5. Zim misstates the doctrine it invokes.

Zim frames the inquiry as whether Complainants “directly purchased” Zim’s “carrier services” or were parties to the bills of lading. Zim MTD, 5-6. That is not the test. The direct purchaser rule is transaction-specific: it turns on who actually paid the particular charges sought to be recovered, not on who contracted for or paid ocean freight generally. *See Gov’t of Guam*, 29 S.R.R. at 902, 908-09 (striking consignee’s reparations claim because it was not the direct payor or assignee of the amounts at issue). Freight charges are not at issue in this proceeding at all. The only amounts in dispute are demurrage, dwell, and storage charges, and as to the only such amounts actually paid to Zim, the CES Demurrage charges, Complainants were the payors.

B. Complainants Have Sufficiently Alleged, Under FMC Precedent, That Tariff-Based Conduct is a Cognizable “Practice” that is “Normal, Customary, and Continuous” for Purposes of Complainants’ Section 41102(c) Claims.

Zim’s motion must be denied because its practice argument misreads FMC precedent, rewrites the Complaint, and contradicts Zim’s own insistence, repeated in correspondence and in two federal lawsuits, that the charges flow from its published tariff. On a motion to dismiss, where the Complaint’s well-pleaded allegations are accepted as true and construed in Complainants’ favor, that argument fails.

1. Zim relies on old case law, as opposed to current case law, and its motion must be denied.

Zim’s Motion misreads the “normal, customary, and continuous” requirement for claims under 46 U.S.C. § 41102(c). In Zim’s telling, a single CBP hold affecting seven shipments and over 140 containers cannot give rise to a cognizable “normal, customary, and continuous” “practice” under 46 U.S.C. § 41102(c). Zim MTD, at 11-12. But the Complaint sufficiently alleges Zim’s assessment, accrual, invoicing, collection, and continued pursuit of demurrage

charges under its tariff, bills of lading, and D&D rules. *See, e.g.*, Compl. ¶¶ 93-117, 123-38, 146-50, 157. The allegations reflect tariff-based policies that Zim applies in the ordinary course, and the Complaint alleges, with the presumption of truth it enjoys at this stage, exactly that.⁴ The relevant inquiry therefore is not whether the underlying customs hold was unusual, or even whether the charges relating to seven separate shipments and over 140 containers should be lumped together into one transaction, but rather whether the challenged conduct reflects tariff-based practices and policies that Zim routinely applies in the ordinary course of business.

Complainants have sufficiently alleged that the Zim demurrage charges were pursuant to Zim’s tariff. Compl. ¶¶ 27-28, 93, 98-100, 107, 146. FMC precedent confirms that, for purposes of the “normal, customary, and continuous” requirement to allege a “practice” in violation of Section 41102(c), charges assessed under a carrier’s tariff are “normal, customary, and continuous,” regardless of the number of shipments involved. In *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, the detention charges at issue were \$510 over three days on a single container based on an agreement (the UIIA). Dkt. No. 1966(I), 2022 WL 18068977, at *4-5 (F.M.C. Dec. 29, 2022) (element satisfied by only three days of detention charges because the charges were imposed pursuant to a contractual term), *vacated on other grounds sub nom. Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024); *see also TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, 2025 WL 516256 (Feb. 13, 2025) (decision on remand re-confirming invalidity of detention charges as “normal, customary and

⁴ While not at issue at this juncture, if Zim contends that it imposed over \$7 million in demurrage charges without authority in its rules tariff, Complainants easily succeed on their Shipping Act claims.

continuous” vis-à-vis three days’ worth of charges on single container), *aff’d sub nom.*

Evergreen Shipping Agency (Am.) Corp. v. FMC, 174 F.4th 169, 174 (D.C. Cir. 2026).⁵

Zim cites older FMC decisions for the proposition that a cognizable “practice” must be “often repeated and customary” rather than “isolated” or “occasional.” See Zim MTD, at 10. It ignores more recent authority holding that conduct undertaken pursuant to a carrier’s routine policies, standard operating procedures, tariff terms, or generally applicable business rules satisfies Section 41102(c)’s practice requirement. See *Vanasia Trading Grp., Inc. v. Bilink Shipping Corp.*, Dkt. No. 2037(I) FMC Slip Op. at *21, 2026 FMC LEXIS 585, at *47 (SCO July 14, 2026) (holding that conduct governed by a respondent’s policy for the routine handling of customer payments constituted a cognizable “practice” because it extended beyond a single transaction: “business practices appropriately adjudicated under section 41102(c) [‘normal, customary and continuous’ element] are those that extend beyond an isolated dispute and ‘negatively affect the broader shipping public.’ . . . Because [the challenged] policy govern[ed] Respondent’s routine handling of customer payments rather than a single transaction, the conduct constitute[d] a business ‘practice’ within the meaning of § 41102(c).”).

The same principle applies here. The Complaint alleges that Zim assessed demurrage pursuant to Rule 4.0 of Tariff #ZIMU-136, which provides that demurrage continues to accrue

⁵ The case law is extensive. See also *Simple Forwarding, Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F) (ALJ Feb. 6, 2025) (element satisfied where detention charges on a single container were imposed under the carrier’s tariff-based charging framework), *review denied*, Notice not to Review (Mar. 11, 2025); *TZ SSE Buyer, LLC v. Yang Ming Marine Transp. Corp.*, Dkt. No. 24-10, Initial Decision at 36-39 (ALJ Mar. 24, 2025) (demurrage, detention, and per diem charges imposed pursuant to the carrier’s established tariff and bill of lading framework satisfied the element as part of its regular charging practices), *review denied*, Notice Not to Review (F.M.C. Apr. 29, 2025); *Acme Freight Servs. Corp. v. Total Terminals Int’l*, Dkt. No. 22-07, 2022 WL 1772290, 2022 FMC LEXIS 216, at *5 (ALJ May 26, 2022) (allegations that the practices “[were] occurring on a normal, customary, and continuous basis” and that the charges were part of the respondent’s tariff stated a claim under 46 U.S.C. § 41102).

during customs holds and government inspections. Compl. ¶ 109 & n.53. It further alleges that Zim defended those charges as proper under its tariff and bill of lading terms, and established rate tiers, sought collection from multiple parties, and filed three complaints in two federal lawsuits to recover the amounts allegedly owed. Compl. ¶¶ 123-38; Ex. 13. Accepted as true, as they must be at this stage, these allegations plausibly establish that the challenged conduct arose from Zim's implementation of a generally applicable tariff rule and consistent business practice (vis-à-vis filing multiple lawsuits to collect) rather than an isolated transaction, thereby satisfying the "normal, customary, and continuous" requirement of Section 41102(c).

2. The Complaint alleges that the challenged charges were assessed pursuant to Zim's published tariff framework

The Complaint fits squarely within the authorities discussed above because it alleges that the challenged demurrage (or demurrage-related) charges arose directly from Zim's published tariff framework and bill of lading terms. Specifically, the Complaint alleges that the Containers were subject to free time and demurrage provisions established by the Zim Tariff, that Zim issued seven Demurrage Invoices totaling \$7,050,260 pursuant to Tariff #ZIMU-136 as incorporated into Tariff ZIMU-480; and that Zim applies the same demurrage regime to merchant-owned and specialized non-cargo containers as it does to Zim-owned cargo containers. Compl. ¶¶ 27-28, 93-99. The Complaint thus challenges the application of Zim's tariff-based demurrage regime (as well as its failure to have a specific regime for shipper-owned, non-cargo carrying containers, *see* Compl. ¶¶ 97-106), not an operational decision unique to these shipments.

The Complaint further alleges that Rule 4.0 of Tariff #ZimU-136 provides that demurrage continues to accrue following the expiration of free time when cargo is detained because of a customs hold or government inspection. Compl. ¶ 109 & n.53. The challenged

conduct, demurrage charges during an extended CBP hold, is thus alleged to arise from an express tariff rule of general applicability, not an *ad hoc* discretionary determination unique to the Containers.

Zim's Motion attacks the wrong practice. To the extent it attempts to reduce this entire matter down to the "CBP examination and hold" as the relevant conduct (Zim MTD, at 11), Zim mischaracterizes the relevant conduct and practice. Because the challenged charges are alleged to arise from published tariff provisions and standing demurrage rules, the Complaint plausibly alleges conduct that constitutes a "practice" occurring on a "normal, customary, and continuous" basis within the meaning of Section 41102(c). Nothing more is required at the pleading stage. That conclusion follows directly from *Simple Forwarding*, *TZ SSE Buyer*, *TCW*, and *Acme Freight*, each of which recognized that conduct undertaken pursuant to tariff provisions, contractual terms, bill of lading terms, or established carrier practices may satisfy the practice requirement notwithstanding the limited number of containers or shipments involved.

3. Zim's own conduct confirms that the challenged charges arose from an established tariff/bill of lading-based practice.

Zim's characterization of this matter as an isolated dispute and "exceptional occurrence" (Zim MTD, at 12) is contradicted by its own words and actions. Throughout the dispute, Zim insisted that the charges were valid precisely because its tariff, bill of lading terms, and established demurrage rules required them. Those statements appear in exhibits to the Complaint and are properly considered on this Motion. Complainants disputing the authority of or application to a dry van container rule to the Containers, which are shipper-owned containers, does not render Zim's actions as a non-practice. Otherwise, shippers would be unable to challenge ocean carriers' deviations from their rules tariff provisions.

In its November 14, 2025 dispute-response letter, Zim asserted that the Demurrage Invoices were “proper, lawful, and contained no technical deficiencies” and repeatedly defended the charges as being assessed “within the tariff and within established rate tiers.” Compl. Ex. 13, at 192. Zim further represented that the invoices were “structured in accordance with the tariff and established rate tiers” and devoted multiple pages to explaining how demurrage allegedly accrued under Rule 4 of Tariff #ZIMU-136. *Id.* at 194-95. By Zim’s own description, the charges were not a one-off determination; they were the routine application of its established tariff framework.

Zim identified “ZimU-136/Rule 4” as the “governing tariff,” explained how free time, demurrage accrual, and rate calculations purportedly operated under that tariff, and demanded payment of the full \$7,050,260 balance. Compl. ¶ 123; Ex. 13 at 194-95. Zim again justified and sought to enforce the invoices as tariff-based demurrage charges, not charges born of unique facts.

Moreover, Zim’s subsequent enforcement actions are equally telling. Zim filed the SDNY action against TD Logistics, Inc., seeking recovery of the full \$7,050,260 amount; and, **one day after** TD Logistics initiated an FMC Charge Complaint challenging the same invoices, filed the SD Tex action against Elektron seeking \$708,153 in “terminal storage charges” (that were ostensibly part of the \$7 million at issue in the SDNY suit). Compl. ¶¶ 123-38. Far from treating the assessments as unique to a particular shipment or transaction, Zim sought to enforce them as tariff-based obligations against multiple parties through parallel collection efforts and litigation. In other words, despite Zim’s after-the-fact characterization that the charges at issue constituted “*deviat[ions]* from its usual rules and practices on this occasion” and that “ZIM departed from its practice [in this] exceptional occurrence” (Zim MTD, at 12 (emphasis in

original)), Zim’s *own real-time dispute correspondence* squarely confirms that Zim is pursuing these charges pursuant to its typical, standard tariff and bill of lading terms. These contentions by Zim in the MTD misrepresent its prior conduct.

Zim’s correspondence and collection efforts confirm what the Complaint alleges: the challenged charges arose from Rule 4.0 of Tariff #ZIMU-136 and were enforced as obligations of general applicability. On a motion to dismiss, those allegations, corroborated by Zim’s own words, control.

4. Zim mischaracterizes the Complaint as alleging a deviation from its ordinary practices.

Finally, Zim rewrites the Complaint. According to Zim, the “Complaint suggests that ZIM did not act in accordance with its tariff and actually deviated from its usual rules and practices” (Zim MTD, at 12), and thus there can be no cognizable “normal, customary and continuous” “practice” under Section 41102(c). That is not what the Complaint alleges.

The Complaint does not allege that Zim departed from its ordinary practices, exercised unique discretion, or failed to follow its tariff. It alleges the opposite. The Complaint specifically alleges that Zim assessed the challenged demurrage charges pursuant to Tariff #ZIMU-136 and Rule 4.0 and improperly applied that tariff framework to the specialized shipper-owned Containers at issue. Compl. ¶¶ 98-100, 104, 109 & n.53. Complainants’ claim is that Zim’s assessment and pursuit of those charges under that framework was unjust and unreasonable under the Shipping Act. The alleged violation arises from Zim’s application and enforcement of its tariff policy, not from any departure from it.

Zim’s own conduct confirms this understanding of the Complaint. As discussed above, Zim repeatedly asserted in its correspondence and federal court filings that the challenged charges were proper because they were authorized by its tariff and bills of lading. Those

positions confirm Complainants' allegations and defeat Zim's attempt to recast the Complaint as alleging a deviation from its normal practices.

Complainants do not allege that Zim departed from its ordinary practices. They allege that Zim followed them, and that those practices, as applied to the specialized shipper-owned Containers, violated the Shipping Act. Whether that conduct was in fact unreasonable is a question for the merits. At the pleading stage, the allegation suffices.

C. Zim's Motion Fails Because the Complaint Sufficiently Alleges That the Complainants Disputed the Invoices under Part 541 and Threatened an FMC Suit and That Zim Responded with Two Federal Cases.

Zim's MTD must be denied because the Complaint sufficiently alleges a retaliation claim—i.e., that the Complainants engaged in protected activity by disputing the invoices under 46 C.F.R. Part 541 and threatening to file at the FMC and that Zim engaged in prohibited conduct by filing three complaints in two jurisdictions. The Complaint sufficiently alleges that Zim resorted to “unfair and unjustly discriminatory action for—(A) the reason that a shipper [DQS and SunnySide] filed a complaint against [Zim] and any other reason.” 46 U.S.C. § 41102(d)(2), (3); Compl. ¶¶ 126, 137, 154. The Complaint also sufficiently alleged that “[Zim] engaged in an unfair or unjustly discriminatory practice in the matter of rates or charges . . . and adjustment and settlement of claims.” 46 U.S.C. § 41104(a)(4)(A), (E); Compl. ¶¶ 104, 126, 137, 141, 152-54. The FMC's Statement *On Retaliation*, provides useful insight into both violations, because all three provisions cover retaliation, and unfair or unjustly discriminatory actions. FMC, *Statement of the Commission on Retaliation*, Dkt. No. 21-15, at 9 (FMC Dec. 28, 2021) (“Statement on Retaliation”).⁶

⁶ OSRA 22 amended Section 41102(d) by adding a specific retaliation provision to the end of that section. Prior to OSRA 22, Section 41104(a)(3) addressed retaliation (“A common

1. Zim misstates the FMC’s anti-retaliation rule and ignores the Complaint’s well-pleaded allegations that Zim retaliated against Complainants for engaging in protected activity.

Zim attacks Complainants’ retaliation claim under 46 U.S.C. § 41102(d) by misstating the **very same** standard it quotes from, and by arguing that the Complaint fails to allege (1) that Complainants engaged in “protected activity,” and (2) that Zim engaged in “prohibited conduct.” Zim MTD, at 17. Both arguments fail on the face of the Complaint, factual allegations of which must be accepted as true and construed in the light most favorable to Complainants at this stage. *See supra* Section II; Compl. ¶¶ 118-38, 154.

To succeed on a retaliation claim, a “complainant must show that a carrier engaged in prohibited conduct . . . , with respect to a protected entity (shipper), because the protected entity engaged in protected activity.” Statement on Retaliation at 9. The FMC interprets the Shipping Act’s anti-retaliation provision “broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” *Id.* at 1.

The Complaint unequivocally alleges “protected activity.” A “protected activity”—as Zim’s own quotation of the Statement on Retaliation confirms (Zim MTD, at 18-19)—is broadly defined under Section 41102(d) as activities such as a shipper patronizing another carrier, filing a complaint with the FMC, or “other activities of the same class.” *Statement on Retaliation*, Dkt.

carrier may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.”). The FMC’s December 2021 Statement on Retaliation addressing the prior retaliation provisions of Section 41104(a)(3) applies equally to the revised and recodified provisions at Section 41102(d). *See Elawamry v. Emarat Shipping Inc.*, Dkt. No. 2005(I), FMC Slip Op. at *29-31, 2024 FMC LEXIS 709, *61 (SCO Sept. 30, 2024). *Accord Phillip Marciano LLC v. US Cargo Servs. Inc.*, Dkt. No. 25-11, FMC Slip Op. at *13, 2025 FMC LEXIS 904, *27 (ALJ Dec. 16, 2025).

No. 21-15, at 9; 46 U.S.C. § 41102(d). To “state a retaliation claim, a complaint must allege that the complainant brought its grievance to the Commission’s attention or, at a minimum, threatened to do so.” *Zim MTD*, at 18.⁷ The FMC has held that “notice of intention to file a case with the Commission is protected by the Commission’s prohibition on retaliation ‘for any other reason.’” *OJ Commerce*, 2024 WL 4034610, 2024 FMC LEXIS 621, at *10. In *OJ Commerce*, the FMC reasoned that two formal demand letters sent by the shipper “served essentially the same purpose as enlisting CADRS, by putting [the carrier] on notice of [the shipper]’s claims.” *Id.* at *13.⁸ Even an implied threat of FMC action rises to the level of a “protected activity.” *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Co. SA*, Dkt. No. 23-02, FMC Slip Op. at *166, 2026 FMC LEXIS 300, at *338 (FMC Apr. 24, 2026). For example, a letter to a carrier that mentioned the Shipping Act and the shipper’s belief that the carrier’s detention and demurrage practices were “not in the spirit of the Federal Maritime Commission’s guidance” put the carrier “on notice” of a potential FMC enforcement action and constituted “protected activity” sufficient to ground a Section 41102(d) retaliation claim. *Id.* at 338-42.

The Complaint clears that bar with room to spare. It alleges that Elektron, as the parent of DQS, filed two formal dispute letters on October 22 and October 29, 2025, through the Zim Dispute Portal, challenging the Port Import Dwell Fees, CES Demurrage Invoices and the Zim Demurrage Invoices (each, a “Dispute Letter,” and collectively, the “Dispute Letters”). Compl.

⁷ *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Dk. No. 21-11, 2024 WL 4034610, 2024 FMC LEXIS 621, *10 (FMC Aug. 27, 2024) (“[I]t is reasonable to protect a shipper [viz. Section 41102(d) retaliation claims] for stating that it intends to file [an FMC] complaint.”); *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Co. SA*, Dkt. No. 23-02, FMC Slip Op. at *161-62, 2026 FMC LEXIS 300 (FMC April 24, 2026).

⁸ The FMC has explicitly stated that “using CADRS’ dispute resolution procedures” is a protected activity under section 41102(d). *Statement on Retaliation*, Dkt. No. 21-15, at 7.

¶¶ 120-38. Complainants further alleged that “Zim ISS was fully aware (based on the Dispute Letters) that Elektron (and/or the appropriate entities on its behalf) intended to challenge the Zim Demurrage Invoices (including any ‘storage’ charges) before the FMC.” Compl. ¶ 136.

The October 29 Dispute Letter (attached here as Ex. A) put Zim on notice of a potential FMC action in terms no reader could miss, stating in bold on its second page:

“If ZIM fails to comply, Elektron will promptly file a Complaint with the Federal Maritime Commission seeking reparations, interest, and all other available remedies under the Shipping Act.”

Lest the point be missed, the letter’s final sentence repeated it: “Failure to comply will result in immediate filing of a Complaint with the Federal Maritime Commission seeking reparations and all other available remedies under the Shipping Act.”

Zim understood the threat: its own Dispute Response argued that the Zim Demurrage Invoices would prevail if challenged before the FMC. *See* Compl., Ex. 13. Zim was “on notice” of Complainants’ intent to challenge those charges before the FMC, and the Complaint therefore pleads a “protected activity.” Again, as with its baseless “direct purchaser” arguments, Zim’s contention that the Complaint does not adequately allege Section 41102(d) protected activity is demonstrably baseless and borders on frivolous, as Zim quotes the very allegation in its motion. Zim MTD at 19.

Zim also argues that the Dispute Letters were not submitted by Complainants and that Elektron does not fall within a protected class under Section 41102(d) with respect to the Port Import Dwell Fees, CES Demurrage Invoices and Zim Demurrage Invoices. The Complaint squarely alleges otherwise. The Complaint states in paragraphs 118 and 120: “Complainants (via DQS’s parent entity—Elektron, through undersigned counsel) timely submitted . . . a formal dispute letter.” The referenced October 29 Dispute Letter named SunnySide—which the Complaint confirms as DQS’s agent (Compl. ¶ 3)—as the Importer of Record:

Zim American Integrated Shipping Services Co., LLC, (“ZIM US”) as Agent for Zim Integrated Shipping Services Ltd. (“ZIM HQ,” and together with ZIM US, “ZIM”) improperly assessed \$7,056,140 in demurrage fees against Elektron via SunnySide Digital Inc. (“SunnySide”), the Importer of Record, in violation of the Shipping Act of 1984, as amended (the “Shipping Act”) and applicable Federal Maritime Commission (“FMC”) regulations for the Shipments (collectively, the “Demurrage Fees”).

See Ex. A, at 1.

In the Zim Dispute Response (Compl., Ex. 13), Zim itself acknowledged that the Dispute Letters named SunnySide by referencing SunnySide four times in a four-page reply. Zim’s assertion now that Complainants had no stake in the protected activity is an about-face from its own response. The Complaint’s allegations comfortably meet the low threshold for pleading a protected activity.

2. Zim misrepresents the prohibited conduct standard; the Complaint properly alleges that Zim engaged in prohibited conduct when it filed three complaints in federal court following the Demurrage Dispute.

The FMC directs that a carrier retaliates against a shipper when it “engage[s] in conduct detrimental to a shipper . . . to ‘get even’ with or deter that shipper and other shippers from complaining to the Commission.” *Statement on Retaliation*, Dkt. No. 21-15, at 8. Zim’s argument that Section 41102(d) narrowly limits retaliatory conduct to “conduct . . . similar in purpose and effect to refusing cargo space accommodations” **is blatantly wrong**, misstates the FMC’s rule, and misrepresents the broad language of the Statement on Retaliation **that Zim itself quotes**. Zim MTD, at 20-21. Retaliatory conduct by a carrier under Section 41102(d) is not limited to competition-related conduct— i.e., “service contract negotiations, quotes for ocean transportation services, cargo bookings, and cargo space accommodations.” Rather, FMC precedent casts a broad net over retaliatory conduct to further “Congress’s purpose to combat shipper reticence about bringing complaints to the government.” *Statement on Retaliation*, Dkt.

No. 21-15, at 9. Indeed, the FMC’s Statement on Retaliation—*as quoted by Zim*—plainly states that retaliation is not limited to cargo accommodations or the like: “[I]t is not hard to envision situations where a carrier might engage in retaliatory conduct that has nothing to do with competition with other carriers.” *Id.*, at 8 (quoted in Zim MTD, at 21). Zim’s argument that Section 41102(d) narrowly limits retaliatory conduct to “conduct ... similar in purpose and effect to refusing cargo space accommodations” is the **exact opposite** of what the FMC’s Statement on Retaliation says. Zim again engages in a frivolous position refuted by its own quotation of the FMC’s words.

And while a bona fide breach of contract claim in federal court might not constitute per se retaliation, Zim’s suits are nothing of the sort. Zim’s characterization of the suits as “good faith” “breach of contract claims” that fall “outside the scope” of the FMC’s jurisdiction (Zim MTD, at 19) is disingenuous. As the Complaint specifically pleads, rather than follow the dispute resolution regulations in 46 C.F.R. § 541.8, Zim responded to Complainants’ protected activity with three complaints in two duplicative lawsuits in the SDNY and SD Tex. Compl. ¶¶ 13 n.3, 124, 126-27, 135-37. Moreover, Zim’s SDNY and SD Tex lawsuits (as noted in Section I, *supra*) seek recovery of charges over which the FMC has exclusive jurisdiction to determine their *prima facie* validity.⁹ Thus, Zim filed these suits **knowing** the charges they were seeking to

⁹ *Samsung Electronics Am., Inc. v. SM Line Corp.*, Dkt. No. 23-01, 2025 FMC LEXIS 398, *79-80, 2025 WL 2231637 (ALJ May 28, 2025). *See also* *Acme Freight Servs. Corp. v. Total Terminals Int’l*, Dkt. No. 22-07, 2022 WL 1772290, at *4 (FMC A.L.J. May 26, 2022) *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954); *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014); *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, 130 F. Supp. 3d 726, 731 (E.D.N.Y. 2015); *In re M/V Rickmers Genoa Litig.*, 622 F. Supp. 2d 56, 69 (S.D.N.Y.) *aff’d sub nom. Chem One, Ltd. v. M/V RICKMERS GENOA*, 502 F. App’x 66 (2d Cir. 2012) (summary order); *Alban v. Kawasaki Kisen Kaisha, Ltd.*, 2022 U.S. Dist. LEXIS 153457, *3, 2022 WL 3681242 (D.N.J. Aug. 25, 2022) (“[FMC] ha[s] exclusive jurisdiction over ... the Shipping Act’s provisions.”); *Buchanan v. Fowler*, 381 F.2d 7, 8 (5th Cir. 1967); *United States Navigation Co. v. Cunard Steamship Co.*, 284 U.S. 474 (1932); *Far East Conference v. United States*, 342 U.S. 570 (1952); *Great White Fleet, Ltd. v.*

recover would be (and/or were currently being) challenged before the FMC as invalid under the Shipping Act and OSRA 22, and that the FMC has exclusive jurisdiction to determine their validity *vel non*. In this regard, Zim’s MTD levels yet another facially baseless argument, this time asserting that because the instant Complaint before the FMC “does not allege that either [the SDNY or SD Tex] lawsuit asserts claims arising under the Shipping Act or seeks to hold TD Logistics or Elektron liable for noncompliance with FMC regulations” (Zim MTD, at 20), the Complaint therefore does not adequately allege that Zim’s lawsuits are retaliatory/prohibited. In other words, Zim argues that because its lawsuits did not explicitly assert Shipping Act claims or FMC regulatory violations over which the FMC has exclusive jurisdiction, they cannot be considered retaliatory. This argument ignores that the charges Zim is seeking in the SDNY and SD Tex suits ***can only be validated by the FMC*** under the Shipping Act/OSRA 22.

The Complaint alleges that Zim filed the SDNY Suit fifteen days after receiving the Dispute Letters, and filed the SD Tex Suit one day after TD Logistics filed a Charge Complaint with the FMC (and with knowledge, via the Dispute Letters, that Complainants intended to lodge a complaint with the FMC). Compl. ¶¶ 125, 136. Now that Complainants have filed this action, Zim’s pattern of avoiding the FMC continues with the filing of this motion to dismiss. Notwithstanding the impropriety of the claims in Zim’s three federal court complaints and two lawsuits, the prospect of defending such multi-forum litigation would deter any shipper from complaining to the FMC about improper D&D practices and charges. The deterrence could be based on the legal fees alone. At the pleading stage, that timing and tactic support a reasonable inference of retaliatory intent—an inference the FMC must draw in Complainants’ favor.

DSCV Transp., Ltd., 2002 U.S. Dist. LEXIS 7421, *2 (E.D. La. Apr. 16, 2002); 2002 WL 575703.

The Complaint pleads facts that, taken together with Zim's conduct, establish the retaliatory character of Zim's federal court actions. The sequence (discussed above in Section I) bears repeating here:

- The SDNY Suit was filed **fifteen** days after Complainants submitted their Dispute Letters that stated (in bold font) that Complainants would seek enforcement before the FMC (Compl. ¶¶ 118, 123, 125);
- Zim knowingly filed the SDNY Suit in violation of the 30-day time period for resolution of demurrage invoicing disputes outlined in Section 541.8 and 46 U.S.C. § 41104 (Compl. ¶¶ 124, 126, 128);
- Zim filed a duplicative federal suit in the SD Tex against Complainants' parent company, Elektron (Compl. ¶ 135);
- Zim knowingly filed the SD Tex Suit in violation of Section 541.8 and 46 U.S.C. §§ 41102(d), 41104(a)(4) (Compl. ¶¶ 136-37);
- Elektron filed a motion to dismiss the SD Tex Suit on primary jurisdiction grounds, and, after a mutually agreed 21-day extension of time through June 30 to respond to the motion to dismiss, Zim voluntarily dismissed the SD Tex Suit **on the June 30 deadline** for responding to the motion to dismiss;
- On the same day (June 30) it voluntarily dismissed the SD Tex Suit, Zim amended the SDNY Suit to add Complainants as defendants, **despite the fact** that the FMC Complaint in this matter had been filed on May 18, 2026, firmly vesting the FMC with exclusive jurisdiction over the disputed D&D charges at issue;
- The two federal lawsuits are jurisdictionally improper because they implicate claims under the Shipping Act over which the FMC has exclusive jurisdiction (Compl. ¶¶ 136-37); and
- Regardless of their merit, responding to two simultaneous federal lawsuits is costly and burdensome—precisely the retaliatory deterrent Sections 41102(d) and 41104(a)(4) forbid. Indeed, Complainants will be filing yet another motion to dismiss Zim's SDNY Suit, essentially on the same grounds as they previously did for the SD Tex Suit (which Zim conveniently avoided having to respond to by voluntarily dismissing there and retreating to the SDNY).
 - It also bears noting that Zim has rejected Complainants' request to stay or continue the SDNY's Rule 26(a) initial disclosure and written discovery deadlines—despite the fact they are **prior to** the deadline for Complainants' responsive pleadings in the SDNY. See Ex. B, Correspondence with Zim Counsel W. Yost. Consistent with its pattern of increasing costs and decreasing efficiency at every opportunity, Zim thus seeks to force Complainants to participate in discovery in a forum (SDNY) that should not have jurisdiction in the first place, as will be argued in Complainants' motion to dismiss/stay the SDNY Suit under

the FMC's primary jurisdiction. This, again, is unrelenting retaliatory conduct by a carrier against a shipper prohibited by the Shipping Act.

Given the timing, procedural legerdemain, and impropriety of the suits, the Complaint plausibly alleges that Zim engaged in prohibited conduct in direct response to Complainants' protected activity. At this stage, nothing more is required. Moreover, Zim's multiple groundless (if not frivolous) arguments in its MTD are yet further indications that Zim's litigation practices are retaliatory efforts to deter Complainants from pursuing their valid disputes over Zim's D&D charges and practices in this matter.

D. Complainants Sufficiently Alleged that the Invoices Failed to Comply with 46 C.F.R. Part 541.8 When Complainants Listed Each Missing Element.

The FMC D&D regulations at 46 C.F.R. Part 541 require that invoices be issued within 30 days of the date that the charges were incurred. The Complaint properly alleges that the CES Demurrage Invoices were not issued "within 30 days from April 28, 2025." Compl. ¶ 44. The Complaint also properly alleges that Zim did not identify why TD Logistics was "the proper party of interest." Compl. ¶ 45, 95. Further the Complaint properly alleges that the \$708,153 in terminal storage charges, as claimed in SD Tex, were not invoiced. Compl. ¶ 138(a). Finally, the Complaint sufficiently alleges that the Zim rules tariff provision (that Zim cited in the invoices that were issued) does not apply to shipper-owned containers, which also violates 46 C.F.R. Part 541. Compl. ¶ 104.

III. Because Zim's own Federal Court Complaints Undermine Zim's Standing Argument and None of Zim's Points Properly Argues that a Single Allegation is Insufficiently Pled, Zim's Motion to Dismiss Must be Denied.

Complainants have standing to bring these Shipping Act claims because they have paid the demurrage and related storage charges or would be liable for the charges, as sufficiently alleged in the Complaint. Importantly, the direct purchaser rule does not apply to \$7,050,260 in

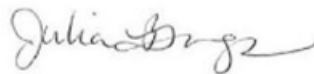
demurrage charges that were not paid (only \$5,880 was paid to Zim). And if Zim is correct in its motion that Complainants are not liable, then why did Zim file two federal court actions against Complainants and related entities?

Complainants have sufficiently alleged a “normal, customary, and continuous” “practice” under FMC authorities that have found this element of a Section 41102(c) claim met when a charge is under a rules tariff or bill of lading provision—which Zim has claimed itself in its correspondence and in its retaliatory federal court actions.

Complainants have sufficiently alleged that Zim’s actions were discriminatory and retaliatory under 46 U.S.C. §§ 41102(d), 41104(a)(4) and the FMC Statement on Retaliation; and Complainants have sufficiently alleged that the Zim invoices do not comply with the D&D invoicing requirements of 46 C.F.R. Part 541 when Complainants identified the required invoice contents missing from each invoice and then attached the invoices as exhibits.

DATED: August 19, 2026

Respectfully submitted,



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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 19th day of August 2026, the foregoing Complainants'

Response to Zim's Motion to Dismiss and Exhibits A, B thereto was served via electronic mail

on:

Federal Maritime Commission

Office of the Secretary

secretary@fmc.gov

The Honorable Alex M. Chintella

Administrative Law Judge

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